

Business Law I

Lecture 11

Trade Law

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Lecture 11

Business Law I

Trade Law

AGENDA

OVERVIEW OF GERMAN COMMERCIAL CODE

WHO'S A MERCHANT?

SPECIAL TYPES OF AGENCY

1. Prokura
2. Limited commercial authority

COMMERCIAL REGISTER

COMMERCIAL CONTRACTS

- Historically one of the first areas of standardization (Germany, 1869)
- Special private law for merchants and companies (esp. German Commercial Code, HGB)
 - Applicable when merchants or companies act



- Relies on and modifies the German Civil Code



Commercial Code more specific

Additional rules

Rules deviating from the rules of the German Civil Code



- What does that mean for the **case solution**?
 - It is regularly necessary to link the norms from the German Civil Code and the German Commercial Code within the case!
 - If there are specific rules in the Commercial Code → they apply (not the general rules of the BGB)
 - You will learn that in the **exercise**

Fundamental questions

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- Who wants what from whom on which legal basis?

Who?

B2C?
Consumer
protection

B2B?
Commercial law

Agency?

Trade Law – Overview

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- Statutory law supplemented by **customary business practice**

Topic	BGB	HGB
Interpretation of Dol	§§ 133, 157	§ 346, taking into account commercial practices and customs; silence
Conclusion of contracts	§§ 146, 151	§ 362, even silence may lead to contract; commercial letter of confirmation
Guarantee (Bürgschaft)	§ 766	§ 350, no form required
Agency	§§ 164 et seq.	§§ 48 et seq., 54 et seq., special types of agency
Warranty law of sales contract	§§ 437 et seq.	§ 377, faster exclusion of warranty rights

Why do we have specific rules?

- Simplicity and speed of trade
 - E.g. lower formal requirements
 - Clarity
 - Prokura → you know right away to which extent the person is allowed to represent the company
 - Good faith in commercial transactions
 - You can rely on what is published in the commercial register
- ➡ Makes it easier for you to deal with other merchants
- ➡ Makes it easier for you to organize your business
- ➡ Helps to create an efficient market economy

Trade Law – standard business terms

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Great importance of **standard business terms**

- Incoterms = International commercial terms
- The Incoterms are fixed trade clauses with an internationally standardised meaning
- The Incoterms are voluntarily agreed contractual standard terms
 - They must be agreed upon → no law
- **EXW** Ex Works ... (names place of delivery)
- **DAP** Delivered At Place... (names place of destination)

Case solution: Always check if you have to take into consideration (standard) business terms besides the legal provisions

Content control
in B2B context
→ But §§ 308,
309 BGB not
directly
applicable,
§ 310 sec. BGB

1. **Book: Commercial Entities (§§ 1 - 104a)**

- Who's a merchant
- Trade register
- Special types of agency

2. Book: Commercial Partnerships and silent partnership (§§ 105 - 237)

- Commercial Partnerships → “OHG” and “KG” → we will discuss them briefly within the framework of company law

~~3. Book: Commercial books (§§ 238 - 342e)~~

- Accounting and financial statements → different course! Prof. Stich!

4. **Book: Commercial transactions (§§ 343 - 475h)**

- Commercial contracts

~~5. Book: Maritime trade (§§ 476 - 619)~~

- Commercial code depends on the concept of **merchant**
 - At least one merchant must act for its application
 - Certain provisions require a B2B transaction, e.g. § 377 HGB
- Concept is governed by §§ 1, 2, 5, 6 HGB
- § 1 sec. 1 HGB: Merchant [...] carries on a **commercial business**
 - What is a commercial business? Not very well defined by law
 - A commercial business is any business operation, unless the type or scope of the business does not require a commercial business operation (§ 1 sec. 2 HGB)

Trade Law – Types of merchants

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- A business is an activity that is
 - independent
 - permanent
 - legal
 - outwardly appearing activity
 - aimed at taking profits and
 - not a liberal profession
- Overall picture based on indications (including commercial accounting, amount of sales, number of employees, number and type of business transactions, credit transactions)
- If you are a small business (no merchant) → you can become a merchant if you register in the commercial register, § 2, sentence 1 HGB
- If you are a merchant → you have to register
- Statutory laws declare certain types of corporations to be trading companies to which the rules on merchants apply
 - E.g. German limited liability company, §§ 13 sec. 3 GmbHG, 6 sec. 1 HGB

Trade Law – Types of merchants

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- Who is a merchant?



- Who is **NOT** a merchant?
 - Liberal professions
 - Doctor, lawyer, notary, auditor, tax consultant, architect, sculptor, writer, interpreter
 - Catalogue in § 1 sec. 2 PartGG
 - Purely asset-managing activities
 - No merchant if you just rent-out apartments
 - Employees of a company
 - They are not independent
 - Charities
 - Not aimed at making profit
 - People with a very small business activity

Trade Law – Types of merchants

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- Why is it important whether you are a merchant?
 - Then the rules of the Commercial Code apply to you
 - Advantages and disadvantages → depends on perspective

You profit from it, when you sell to another merchant
You have to bear the burden if someone sells to you



For small
businesses
too many
dis-
advantages

Topic	BGB	HGB
Warranty law of sales contract	§§ 437 et seq.	§ 377, faster exclusion of warranty rights

- **Remember**: Companies like GmbH = merchants
- Merchants are registered in the commercial register, § 29 HGB

Trade Law – Commercial Register

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- Public register for certain **facts** relevant for commerce
- §§ 8 – 16 HGB
- Three functions:
 - Information (publication function)
 - Proof (evidence function)
 - Protection of legal traffic (protection funct.)
- Commercial register is **public**; anyone may inspect it for information purposes (§ 9 sec. 1 s. 1 HGB)
- According to § 9 sec. 5 HGB, the court must also issue negative certificates on request → stating that there are no further entries relating to the subject matter of an entry

Handelsregister A des Amtsgerichts Bonn	Abteilung A Wiedergabe des aktuellen Registerinhalts Abruf vom 31.10.2018 10:22	Nummer der Firma: HRA 5390
Abdruck	Seite 1 von 2	

1. Anzahl der bisherigen Eintragungen:

4

2. a) Firma:

Franz-Josef Braun GmbH & Co. KG

b) Sitz, Niederlassung, inländische Geschäftsanschrift, Zweigniederlassungen:

Mechemich
Geschäftsanschrift: Am Südhang 9, 53894 Mechemich

c) Gegenstand des Unternehmens:

—

3. a) Allgemeine Vertretungsregelung:

Jeder persönlich haftende Gesellschafter vertritt einzeln.

b) Inhaber, persönlich haftende Gesellschafter, Geschäftsführer, Vorstand, Vertretungsberechtigte und besondere Vertretungsbefugnis:

Persönlich haftender Gesellschafter: Franz-Josef Braun, Verwaltungs GmbH, Mechemich

4. Prokura:

Einzelprokura:
Braun, Franziska, Mechemich-Harzheim, *20.01.1980

5. a) Rechtsform, Beginn und Satzung:

Kommanditgesellschaft
Beginn: 04.03.1988

b) Sonstige Rechtsverhältnisse:

—

c) Kommanditisten, Mitglieder:

Kommanditist(en):
Braun, Rainer, Mechemich, *06.02.1972, Einlage: 25.564,59 EUR

6. a) Tag der letzten Eintragung:

10.04.2014

- Facts requiring registration
 - Business name, § 29 sec. 1 HGB
- Facts that can be registered
 - Exclusions of liability, §§ 25 sec. 2, 28 sec. 2 HGB

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10.04.2014

- Declaratory registration vs. constitutive registration
 - Most registrations only have a declaratory effect → means the relevant legal fact exists independently of the registration
 - If you are a merchant → then registration only has declaratory effect
 - Conferring of Prokura
 - Constitutive registration → if the relevant legal fact only comes into existence as a result of the registration
 - Founding of a GmbH or stock corporation, §§ 11 sec. 1 GmbHG, 41 sec. 1 AktG
- Procedure, §§ 12 et seq. HGB
 1. Regularly: Request for registration
 2. Examination on formal grounds, material correctness only in cases of doubt
 3. Registration
 - Section A for sole traders and partnerships
 - Section B for corporations
 4. Publication under www.unternehmensregister.de

Commercial register's effect of publicity, § 15 HGB

- Reliance on commercial register in good faith is protected
- Abstract good faith, no need to actually know content of commercial register
- § 15 sec. 2 HGB: standard case
 - Fact requires registration and is true
 - Fact is registered and published
 - Fact can be asserted against third party, § 15 sec. 2 s. 1 HGB
- ➡ E.g.: Merchant M withdrew the Prokura conferred to P. This true fact requiring registration is entered in the commercial register. P still acts as if he had Prokura and tries to conclude a contract in M's name with B signing with ppa. → acts without power of representation
- ➡ § 15 sec. 2 HGB: lack of authority to conclude contracts in M's name can be asserted against B → no contract between M and B

Trade Law – Commercial Register - Effect of publicity

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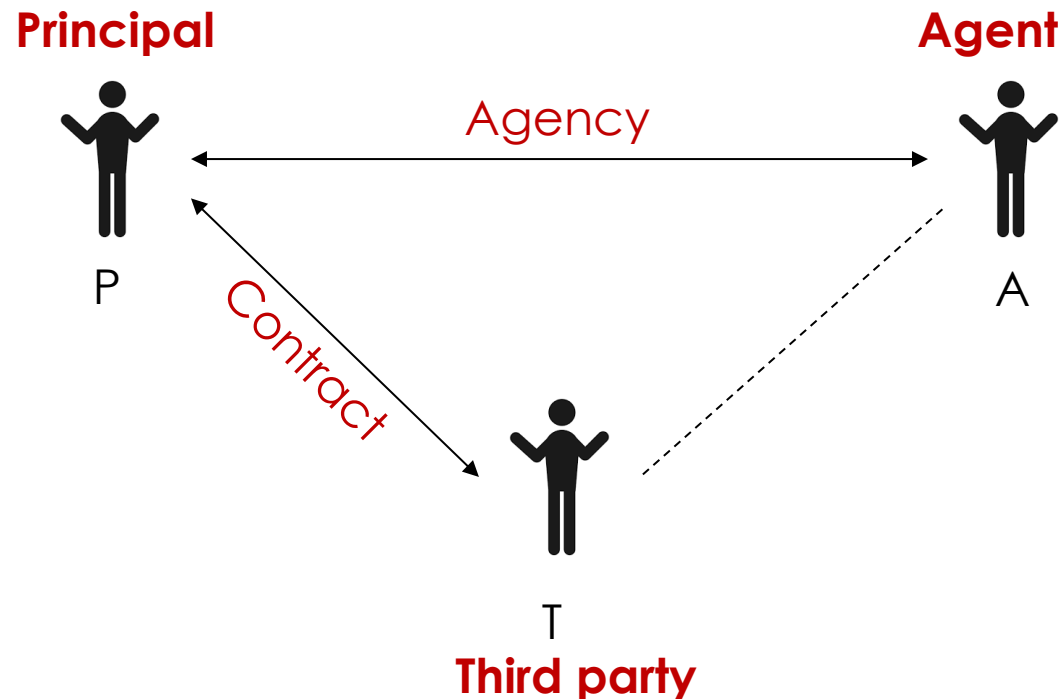
- § 15 sec. 1 HGB: negative disclosure/notice
 - Fact that requires registration is true but isn't registered
 - Reliance of third parties in good faith on correctness of the “register's silence” is protected
 - Not registered facts don't exist in relation to third parties
 - E.g.: Merchant M withdrew the Prokura conferred to P. This true fact requiring registration isn't registered in the commercial register. P still acts as if he had Prokura and tries to conclude a contract in M's name with B signing with ppa.
- ➔ Lack of authority to conclude contracts in M's name cannot be asserted against B. → contract between M and B +
- § 15 sec. 3: positive disclosure/breach of publication
 - Reliance of third parties in good faith on correctness of “what the register says” is protected
 - E.g.: Merchant M never conferred Prokura to P, but the Prokura is registered in the commercial register. P acts as if he had Prokura and tries to conclude a contract in M's name with B signing with ppa.
 - Lack of authority to conclude contracts in M's name cannot be asserted against B. → contract between M and B +

Agency – What is it?

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Agency is a legal institute that allows one person (**agent**) to act on behalf of another person (**principal**) and therefore create legal relationships between the principal and a third party.

§§ 164 – 181 BGB



What is the advantage of using an agent?

Agency - Advantages and Risks (II)

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What are the advantages and risks?

Advantages	Risks
Division of labour	Losing direct control and information
Freeing capacity for other tasks	Possible different interests of principal and agent
Increasing the company's output	Need of trust or other mechanisms
Legal entities need agency	Especially: Principal agent problem
Using experts with special knowledge	
No emotional involvement	

- Types of agency exclusive to trade law:
 - Commercial power of attorney (**Prokura**), §§ 48 et seq. HGB
 - Limited commercial authority (**Handlungsvollmacht**), §§ 54 et seq. HGB
 - Shop assistant power of attorney, § 56 HGB
- Law of agency (§§ 164 et seq. BGB) applies with modifications
- Prokura → You will see them sign with “ppa.” on business communication: § 51 HGB
 - per procura autoritate
 - on the basis of granted procura

Remember the German terms „Prokura“ and „Handlungsvollmacht“

- The Prokura is a legally granted power of representation with a legally regulated scope
- Regulated in Sections 48 - 53 of the German Commercial Code (HGB)
- Prokura authorizes the “**Prokurist**” (person with Prokura) to perform **all types** of judicial and extrajudicial transactions and legal acts that the operation of a commercial enterprise entails (§ 49 sec. 1 HGB).
→ **Be aware:** Prokurist **allowed to do almost everything** (few exceptions for fundamental decisions, like sale of real estate only if special permission granted, § 49 sec. 2 HGB)
- A restriction of the scope of the Prokura in the **internal** relationship is invalid vis-à-vis third parties, § 50 HGB
- Is it often used? YES!

Scope of Prokura

- Scope is regulated by law and not restrictable with effect towards third parties (external relationship), § 50 HGB
 - That's an advantage for third parties → you don't have to inquire the limits of power to represent → makes everything easier and faster
 - Exception: abuse of power of agency
 - If the other party knows the abuse or the abuse must have been evident for third party
 - Merchant M prohibits new Prokurist P to conclude contracts in excess of 20.000€, because he has severe liquidity problems. Still, P buys raw material worth 50.000€ from S and pays them directly. S knows P's limit, but wants to conclude the favorable deal
- Abuse of power of agency; contract was not concluded

Joint Prokura (§ 48 sec. 2 HGB):

- ⇒ Prokura is - expressly - granted to several persons jointly; causes a personal restriction of the power of representation; procurators must act jointly, not necessarily at the same time
- ⇒ Why important?
 - ⇒ **Better control!**
 - ⇒ **Dual-control-principle** (4-eyes-principle)

2. Limited commercial authority (Handlungsvollmacht)

- (Every) power of attorney granted in the commercial business that is not a Prokura, § 54 sec. 1 HGB (legal definition)
- General rules of agency apply with modifications of §§ 54 et seq. HGB
- No explicit conferring, no registration in commercial register required
- Stricter statutory limits than Prokura, § 54 sec. 2 HGB
 - No taking up of a loan, no representation in courts
 - Individual limitations possible with effect in external relationship, if third party knows or should have known

Limited commercial authority

- Power of attorney (power of attorney to act) extends to all transactions and legal acts which the operation of **such a commercial business** or the carrying out of **such** transactions usually entails (Section 54 HGB)
- In contrast to the procura, a merchant can limit the scope of the power of attorney in external relationships as desired
- However, in addition to the limitations of the power of attorney mentioned in paragraph 2, the negotiating partner only has to accept further limitations if he knew or should have known about them (§ 54 sec. 3 HGB)
- **Tip:** In negotiations, therefore, it may be assumed that authorized representatives have a far-reaching power of representation. However, it is advisable to inform oneself about the exact scope of the power of representation of one's negotiating partner in order not to be suspected of negligent ignorance in case of doubt, § 54 sec. 3 HGB

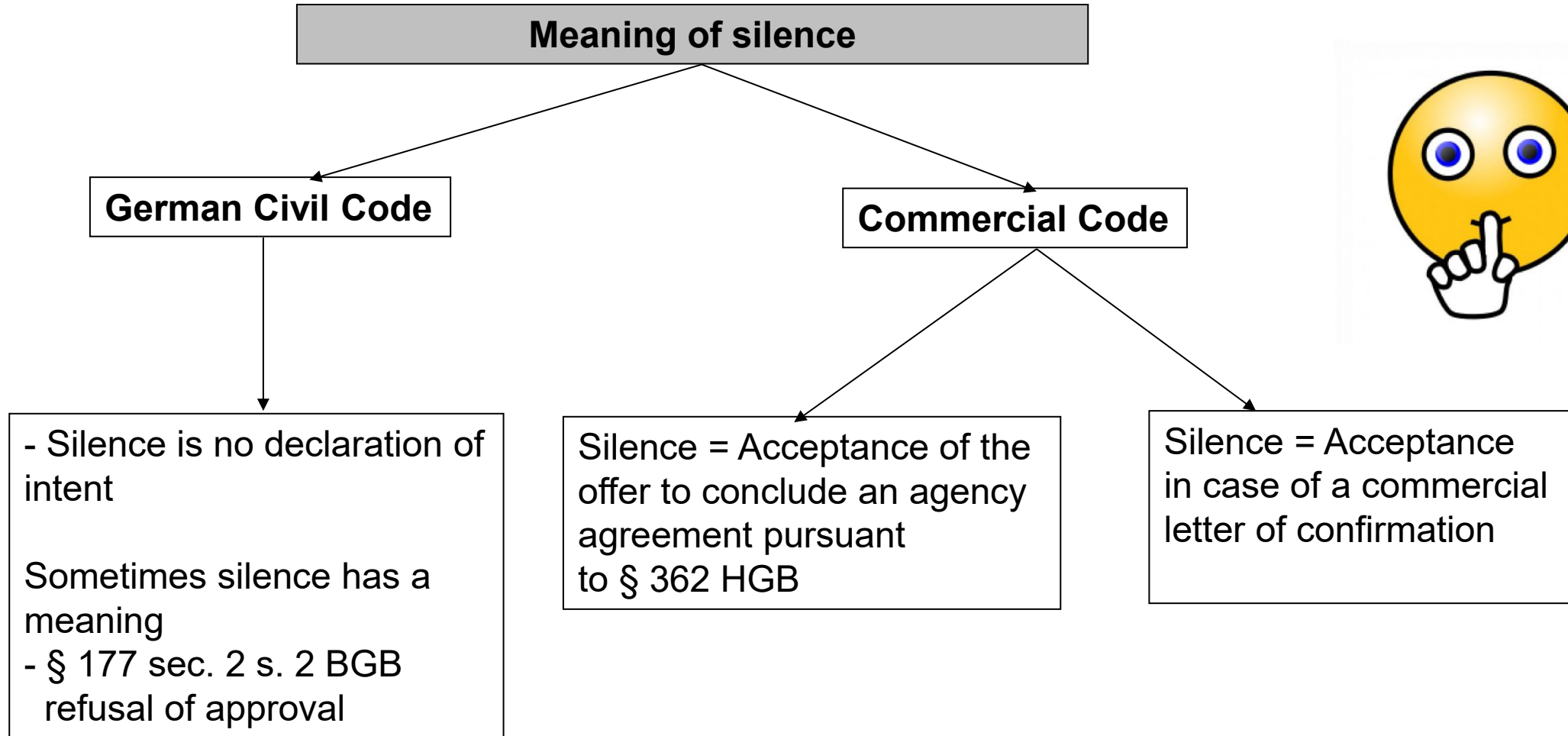
Trade Law – Special types of agency – store clerk

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- Limited commercial authority of the store clerk, § 56 HGB

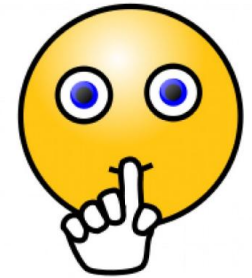


1. Person employed in a store or warehouse open to the public
 - Everyone working there with knowledge and consent of the owner
2. Sale, receipt or transaction customary to the type of store
3. Contracting party must act in good faith
 - Thus, the confidence of a third party that a person belonging to the store has power of representation with respect to sales and receipts is protected
 - Purchases by store clerk are excluded according to the clear wording of § 56 HGB
 - The store power of attorney can also be excluded by a special notice ("payment only at the cash desk")



Meaning of silence

- According to §§ 145 et seq. BGB silence can not be interpreted as a declaration of intent
- Sometimes different treatment of silence in HGB
 - Serves speed and legal certainty of commercial traffic
 - § 362 HGB: silence on an offer for an (agency) agreement
 - In certain cases the merchant must answer offers immediately, otherwise silence is interpreted as the acceptance of an offer
 - Offer must be in the usual scope of business of the merchant, existing relationship between the parties
 - Forwarder F (shipping contractor) regularly transports things for his long-term client C. C asks F to transport the production machinery he just bought second hand. F does not answer.
 - Still, a contract between F and C is concluded, § 362 sec. 1 s. 1 HGB.



Meaning of silence

- Commercial letter of confirmation
- Prerequisites:
 - Recipient is merchant, sender participates in business activities
 - Contract negotiations between both parties
 - Letter sent immediately after negotiations
 - Receipt of commercial letter of confirmation
 - Sender can reasonably expect the acceptance of the letter's content and is in good faith
 - Recipient remains silent (no immediate objection)



Contract is concluded like it is (re-)stated in the commercial letter of confirmation, even if it deviates from the result of the previous negotiations

Meaning of silence

- Commercial letter of confirmation
- A wants to buy a machine from B for EUR 57.000. The negotiations via telephone take 4 hours, because A and B negotiate intensively. During the phone call B informs A that he will only deliver the machine in 8 weeks. A would prefer an earlier delivery date, but B insists. As A remains silent B assumes that they agreed. A just wanted to go on thinking about it and discussing that issue later. However, in the end, he forgets about it and they finish the negotiations, feeling that they agreed on the essential terms. B sends a letter of confirmation right after the negotiation. A does not have the time to read it and therefore, does not see that B included a clause that he will only deliver in 8 weeks.

➔ Contract conclusion (with delivery in 8 weeks)?

Meaning of silence

- Commercial letter of confirmation
- Contract conclusion (with delivery in 8 weeks)? Yes.



- Other special features of commercial contracts
 - Merchant's performance against payment, even if not explicitly agreed upon, § 354 sec. 1 HGB
 - § 347 sec. 1 HGB requires diligence of a prudent merchant
 - Guarantees can be concluded more easily → no special form required in contrast to laypersons, § 350 HGB
 - § 377 HGB duty to reprimand defects ➡ see warranty law I (week 7)
 - That is really important!!
- Consequence of higher professionalism and business experience of merchants

§ 377 HGB

- (1) If the sale of goods is a commercial transaction under this Code for both parties, then the purchaser must examine the goods in due course after delivery, to the extent that this is possible in the purchaser's course of business, and notify the vendor about all material defects in due course.
- (2) If the purchaser does not give notice in due course, the goods are considered approved by the purchaser, unless the material defect was not discernable upon examination.
- (3) If such a defect shows later, then the notification must be made in due course after the default has been discovered; otherwise, the goods are considered approved by the purchaser in respect of this default.
- (4) (...)
- (5) If the vendor has fraudulently concealed the defect, he cannot exercise any rights under this provision.

Warranty rights – Statutory exclusion

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- Requirements acc. to § 377 HGB
 - Mutual commercial purchase (defined in § 343 HGB)
 - Delivery of the goods to buyer or third party
 - Defect acc. to § 434 BGB
 - Obvious defect (recognizable at proper inspection): immediate report to vendor, § 377 sec. 1 HGB
 - Hidden defect (not recognizable at proper inspection): report upon discovery, § 377 sec. 3 HGB
 - No fraudulent concealment of defect by vendor, § 377 sec. 5 HGB

Warranty rights – Statutory exclusion

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Examine goods and notify vendor of defects immediately



No examination and no immediate notification



- Legal fiction of approval, § 377 sec. 2 HGB
- Buyer's warranty rights are excluded

What is the prerequisite for trade law to apply?

Name two special types of agency regulated in trade law. Please explain their main characteristics.

How can silence lead to a contract in trade law?